

PITCH — RWAY — VERDICT

PROPOSED — PENDING ADJUDICATION — small starter, but only on a limit at **\$6.25 or better** (stock is \$6.60); no buying at today's price, no averaging up.

What we believe

Runway Growth Finance is a lender to venture-backed private companies. It borrows money, lends it out at floating rates, and pays out nearly all the interest it collects as a dividend. In April 2026 it bought SWK Holdings for \$249M, adding about \$240M of loans (mostly healthcare) and about 6.4M new shares.

Three things we think are true:

1. **The stock is cheap on cash earnings even after we strip out the flattering accounting.** Management markets \$0.43 of quarterly net investment income and 1.30x dividend coverage. That number is not real (see below) — the honest figure is about **\$0.34 per share per quarter, or \$1.36 a year**. On a \$6.60 share price that is still roughly a **20% earnings yield**, against a \$1.32 annual dividend. Cheap, even after the haircut.
2. **The two loans that went bad were recognized, not hidden.** Net asset value is **\$11.91/share** and was roughly flat once you back out the one-time deal costs. The two non-accruals were moved onto non-accrual at the end of Q1'26 — that is damage taken, not damage being deferred. Our own bear case tried to prove the remaining book is quietly deteriorating and its arithmetic did not survive checking.
3. **The stock is cheap for identifiable, dated reasons that decay.** A holder who has been selling (Carlson/Double Black Diamond, still ~3.885M shares, ~9.2% of the company) has been printing stock at \$6.59–6.64. Roughly 6.4M shares were handed to SWK's owners at an \$11.93 valuation and are down ~45%. That is a lot of motivated supply sitting right where we would bid. Supply exhausts; it is a reason to bid lower, not a reason to pass.

The trade is: buy a 20% cash-earnings yield at roughly **55 cents on the dollar of stated book value**, in small size, below the level where the known sellers have been hitting bids, and let the quarterly reports either confirm or destroy the thesis.

What the market believes

The market believes the marks are wrong and the leverage makes that fatal.

- The portfolio is \$1.19B of loans to private venture-backed companies. Nobody outside the company can verify what they are worth. They are valued by the

company's own board using models, not market prices.

- Against that sits **\$679M of debt** and **\$503M of equity** — borrowings of about **1.36x equity**, above the top of management's own stated range.
- Because of that leverage, a 1% error in the loan marks moves book value **2.36%**. For the stock price to equal stated book value, the portfolio would have to be marked down **18.8%**. And a **13.7%** markdown would push the company through its **150% asset-coverage floor** — the legal test that governs whether a lender like this can borrow more or keep paying dividends.
- So the market's position is simple: the entire discount sits *past* the point where the balance sheet gets into trouble. The discount is not a bargain, it is a probability.

Underneath that, the market also knows the headline dividend yield near 20% has been supported by an accounting quirk (below), and that a shrinking legacy loan book is earning less interest than a year ago.

Why we might have edge

1. We priced the accounting quirk from the contract, not from last year's dollar figure. The adviser gets a performance fee only after clearing a total-return hurdle. \$45.3M of realized loan losses impaired that hurdle, so the fee went to **negative \$199k this quarter versus positive \$3,523k a year ago** — a \$3.7M swing that flows straight into "earnings." We rebuilt the fee from the fee formula in the N-2 prospectus (2% quarterly hurdle, catch-up to 2.667%, 20% above that): pre-fee income of \$17,992k is 3.58% of net assets, well past full catch-up, so the formula fee is **\$3,598k**. Normalized income is **\$0.341/share, covering the \$0.33 dividend 1.03x — not 1.30x**. We validated the formula against the prior-year quarter (predicted \$3,494k vs actual \$3,523k). Most write-ups quote the 1.30x.

That is a *valuation* conclusion, not a *disqualifying* one: it tells us what to pay, not whether to own.

2. We caught our own bear case making an arithmetic error that inverted a conclusion. Our bear analyst argued that the reported improvement in average loan risk rating (2.67 → 2.34) must mean the old loans got worse, and computed an implied legacy rating of 3.01–3.26. Redoing the weighted average with the disclosed weight — SWK loans are **\$216.2M of an ~\$1.1B debt book, about 20%** — gives implied legacy of **2.42 to 2.67**, i.e. flat to better. Getting to 3.13 would require SWK to be ~70% of the book. It is 20%. This is the difference between "the remaining book is rotting" and "it isn't," and it turned on one weight.

3. We can price the buyback both ways. The bear framing is that buying stock and cutting leverage are mutually exclusive. Both are true at once and the trade-off is measurable: spending the authorized \$15M at ~\$6.70 retires 2.24M shares, lifts book value per share to **\$12.20 (+2.4%)**, and costs about 2 points of asset coverage (174.0% → 171.8%). That is a priced trade-off, not a contradiction.

4. The unverifiable thing resolves on a clock. We cannot check borrower-level loan quality with any data source we own — we checked, and we own nothing that reaches private venture-credit obligors. But the marks get restated every 90 days in a filed document. "Cannot verify today" is a reason to size small and wait, not automatically a reason to skip.

Why it might be priced in

Honestly, most of it probably is.

- **Leverage at 1.36x and the discount to book are in every published write-up.** There is no edge in noticing them.
- **The revenue line is not a source of edge.** Street consensus for FY26 revenue is \$139.1M; our own build is \$140.5M. For a lender, revenue is contractual coupon — matching it means nothing.
- **The sellers are visible to everyone.** A 9.2% holder distributing stock and a 15%-of-shares block sitting 45% underwater are public facts. Everyone can see the overhang; that is partly why it's \$6.60.
- **The bear case on coverage may already be half-known.** Analysts who read the income statement can see the negative incentive fee line. Our edge is the formula reconstruction, which is a refinement, not a secret.
- **Our best argument is a valuation argument in a name whose central variable we admit we cannot audit.** A 20% earnings yield on marks we cannot verify is not obviously mispriced — it may be correctly priced for the mark risk.

What we checked ourselves

Both our bench analysts got things wrong. Stated plainly.

Claim	How checked	Found	Confirmed?
Management's "1.30x dividend coverage"	Rebuilt the incentive fee from the fee formula in the <u>N-2 prospectus</u> , then re-ran coverage	Normalized income \$0.341/sh vs \$0.33 dividend = 1.03x . The marketed 1.30x is produced by loan losses suppressing the adviser's fee	Yes — and our bear bench <i>understated</i> it: it normalized using last year's fee dollar (\$3,523k) rather than the formula (\$3,598k)
"The remaining (pre-acquisition) loan book is deteriorating — implied rating 3.01–3.26"	Weighted-average decomposition using the disclosed SWK loan weight (\$216.2M of ~\$1.1B ≈ 20%)	False. Implied legacy rating is 2.42–2.67. Reaching 3.13 needs SWK at ~70% of the book	No — OUR BEAR BENCH'S ARITHMETIC ERROR. Its only original credit-quality kill was impossible. Direction reverses
"Legacy interest income down ~16% year over year = damage still arriving"	Compared against the company's own disclosed portfolio yield, 15.4% → 14.2%	Arithmetic correct , attribution wrong . On a floating-rate book, ~8 points of that decline is base-rate compression plus a deliberately shrunk balance; the two non-accruals started at the <i>end</i> of Q1'26 and cannot	Partly — real headwind to earnings, not evidence the loans are going bad

Claim	How checked	Found	Confirmed?
“Buybacks and deleveraging are mutually exclusive”	Priced both sides on the balance sheet	explain Q1’s decline Overstated. \$15M buyback: book value/share +\$0.29 (+2.4%), asset coverage 174.0% → 171.8% Correct. But 150% is a test on <i>new borrowing and distributions</i>, curable by loan repayments, not an automatic default — and neither bench produced any outside forecast of a 13.7% markdown. Treating today’s share price as a forecast of tomorrow’s marks is circular	Partly — a cost, not an exclusion
“A 13.7% markdown breaches the 150% coverage test”	Recomputed: (502,578 + 678,945) / 678,945 = 174.0% ; breach at a \$163.1M markdown	— and neither bench produced any outside forecast of a 13.7% markdown. Treating today’s share price as a forecast of tomorrow’s marks is circular	Yes on math; the “therefore reject” step does not follow
Adviser paid \$9.0M of its own cash to SWK’s holders to close	Read the <u>April 2026 8-K exhibit</u>	True. Payback on ~\$3.59M/yr of new base fees ≈ 2.5 years — the adviser bought a fee stream. Shareholders bore \$8.1M of deal cost (\$0.22/share of book)	Yes — a governance concern that argues for smaller size, and it also means \$9.0M of cost shareholders did <i>not</i> pay. Coverage gap: our bull bench relied on the bear bench’s fetch and did not independently re-read this filing
Base management fee	0.375%/quarter on ~\$1.24B average gross assets should be ~\$4,650k; actual \$3,478k	~\$1.2M/quarter unexplained, on a book 33% larger than a year ago. Either a temporary waiver (another reason \$0.43 isn’t steady-state) or a fee-base definition that isn’t reconciled	No — UNVERIFIED. The related-party note in the 10-Q is the check and neither bench surfaced it. This cuts either way and is the single most important open item

Claim	How checked	Found	Confirmed?
Share count	Evidence pack said 37.1M (stale, ends 6/30/2025); <u>10-Q at 6/30/2026</u> says 42,215,377	Pack was wrong. Also, the pack's "10-Q excerpt" was XBRL boilerplate, not text — both benches had to fetch the real document	Pack error, caught by both benches
PIK (payment-in-kind) interest this quarter	Cross-read the earnings release against the 10-Q income statement	Two different numbers: \$1.957M in the press release, \$1,546k in the 10-Q. Same company, same quarter	Inconsistent. Small, not load-bearing, but the filed 10-Q is the number we use. Every other figure we care about matched across both venues
Live price	Broker quote tool was permission-denied in the session	Used the pack's \$6.60; a secondary source showed \$7.05. Stock also went ex-dividend \$0.33 on 8/17, so ~5% of the recent drop is mechanical	Gap — verify the live price before any order
Lockup on the ~6.4M shares issued to SWK holders	Looked for a transfer-restriction term	Could not find one. The merger agreement's transfer-restriction section is unread	No — open. This is a bigger potential seller than Carlson

PROPOSED ENTRY BANDS

All levels derive from the benches' own arithmetic. Where a number is the deck's rather than a bench's, it is labeled.

Entry — limit \$6.25 or better. Do not bid at \$6.60. - Basis: the known seller printed stock at **\$6.59–6.64**. Bidding at \$6.60 means buying from a demonstrated supplier at his price. \$6.25 is below his demonstrated zone. - At \$6.25, normalized earnings of \$1.36/yr is a **21.8% earnings yield** and the price is **52% of the \$11.91 book value**.

Size — 0.35% to 0.50% of the book. Half a normal starter. The reason for the halving is explicit: a 1% error in loan marks moves book value 2.36%, and we have no way to audit those marks. Fill in one clip; do not scale in above \$6.25.

No averaging up. If it runs from here without new information, we missed it. That is acceptable.

Adds — only after evidence, and only at or below the entry level. Add to a full position (deck proposal: **1.0% of book**) if *any one* of these appears in a filed document: - Q3 10-Q discloses the risk-rating split between the legacy book and the acquired SWK book, with the legacy average ≤ 2.67 ; or - Quarterly net investment income $\geq \$0.35/\text{share}$ **with a positive incentive fee actually accrued** (coverage that survives the fee coming back); or - Borrowings back to $\leq 1.15x$ **equity** without shrinking the earning-asset base.

Kill — exit in full, no debate, if either occurs: - Q3 book value prints **below \$11.91** excluding one-time items (the “damage was taken, not deferred” claim is then false); or - The **dividend is cut before the incentive fee normalizes** (confirms the 1.03x coverage is not durable).

Trim/exit on strength (deck-derived — neither bench proposed exit levels; flagging that as a gap): - Trim half at **\$9.53** (0.8x book value). At that price the earnings yield compresses to 14.3%, which no longer pays us for marks we cannot verify. - Full exit at **\$11.33**, where normalized earnings yield is 12% — roughly what a verifiable lender yields.

Re-underwrite, do not automatically buy, below \$5.60. A break of the 52-week low of \$5.19 would most likely mean the market is pricing the markdown scenario we cannot rule out. Cheaper is not automatically better when the binding variable is unverifiable.

Catalyst dates: - **2026-08-31** — dividend of \$0.33 payable (ex-date 8/17 already passed). *Confirmed.* - **~2026-10-08** — expected press release announcing the Q3 reporting date. The company gives ~4 weeks’ notice; the Q2 announcement landed 2026-07-08. *Unconfirmed, inferred from pattern.* - **~2026-11-05** — Q3 2026 results and 10-Q. This is the date the whole thesis resolves against: the legacy-vs-acquired rating split, whether the incentive fee resumes, book value, and leverage. **Unconfirmed** — derived from a data vendor, not from any company announcement. Treat as approximate until the October release names it. - No print within five trading days, so there is no near-term earnings-event risk to entering now.

ARMED SENSORS

(armed provisionally with this deck; session adjudication ratifies)

- price alert: fires below 5.6 (deck-provisional: Re-underwrite, do not auto-add — approaching the \$5.19 52-week low implies the market is pricing the m)
- filing watch: 10-Q until 2027-02-17 (deck-provisional: Q3 must disclose legacy-vs-SWK risk-rating split, the related-party note on the ~\$1.2M/qtr management-)
- dated pack RWAY|2026-08-31: RWAY: \$0.33 quarterly dividend payable (ex-date 2026-08-17 already passed; ~5% of the recent price drop is this mechanical drop) (date confi
- dated pack RWAY|2026-10-08: RWAY: Expected press release naming the Q3 reporting date — company gives ~4 weeks’ notice; Q2’s landed 2026-07-08 (date confirmed=False)
- dated pack RWAY|2026-11-05: RWAY: Q3 2026 results and 10-Q — resolves the rating split, whether the incentive fee resumes, book value versus \$11.91, and leverage versus

What remains unverified

- **The loan marks themselves.** \$1.19B of privately valued loans to unnamed borrowers. We checked our entire detector library against this company and every single one either does not apply or cannot reach the data — the borrower roster is undisclosed, so even borrower-level tools are blocked. This is the central variable of the investment and we cannot audit it. That is why the position is half a starter rather than a full one, and anyone who wants to reject the name entirely on this basis is making a defensible argument.
- **The \$1.2M/quarter management-fee shortfall.** Waiver or definition? A waiver means \$0.43 is even less repeatable than we think. Unread: the 10-Q related-party note.
- **The length of the incentive-fee lookback.** This determines whether the ~1.03x coverage regime lasts four quarters or twelve. Could not source it. It is the difference between a temporary earnings hole and a multi-year one.
- **Lockup terms on the ~6.4M shares issued to SWK's owners** at \$11.93, now down 45%. Unread: the merger agreement's transfer-restriction section. If there is no lockup, the overhang is far larger than Carlson's.
- **Street estimates for net investment income and book value.** We could only obtain revenue consensus, which for a lender is uninformative. We do not actually know whether our \$0.34 normalized figure is above or below what analysts carry.
- **Average daily volume and live price.** Estimated at ~580–660k shares (~\$4M/day) from a secondary source, not our broker. Carlson's remaining stake is roughly six days of volume at that estimate.
- **Whether the November print date is real.** Vendor-derived only.

Primary sources for everything above: the Q2 2026 10-Q, the Q2 2026 earnings release, the SWK closing 8-K, and the N-2 prospectus for the fee formula.

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Adjudication & update (2026-08-23)

Ruling (2026-08-22): STARTER-HALF 0.35% at a HARD gate $\leq \$6.25$ — and the marketed story is dead: the 19.9% “covered” yield rests on an incentive-fee holiday caused by \$45.3M of realized losses impairing the adviser’s own hurdle. Fee-normalized NII is \$0.341 vs the \$0.33 dividend — **1.03x coverage, not 1.30x** (derived from the N-2 formula, recomputed and confirmed at adjudication). Coverage and credit-damage are one variable with opposite signs; the bull cannot keep both. Red’s only NOVEL credit kill (rating decomposition showing legacy deterioration) was STRUCK as arithmetically impossible — at disclosed weights legacy computes 2.42–2.67, not red’s 3.01–3.26. Surviving constraints (instruments, not rejections): 174% asset coverage breaches at a 13.7% markdown (hard size cap), Carlson’s 3.9M shares with demonstrated supply at \$6.59–6.64 plus ~6.4M SWK-consideration shares issued at \$11.93 NAV with the **lockup unlocated** (entry gate below the supply zone). Adviser-tilted economics noted: never a core holding. Kills: Q3 NAV $< \$11.91$ ex-items · dividend cut before the fee normalizes ·

adviser still $\leq 1,000$ insider shares at Q3 with leverage $>1.30\times$. Tax note: BDC distributions are ordinary income — this is a total-return-at-discount entry, not an income trade.

Order status: LIVE — BUY 560 @ \$6.25 GTC (submitted 8/22), cancel-by 10/23 (pre-print; ~11/05 unconfirmed). No order economics exist at the current tape — the gate does the waiting.

What could go wrong (*authored at deck update 2026-08-23 — post-ruling, pre-fill*)

1. **The marks were already wrong at entry.** Level-3 private-credit marks re-print every 90 days; nothing alleges dishonesty, only opacity — but opacity means a name can be impaired for a quarter before the NAV shows it. *Unknown-unknown class: mark-to-model opacity (tripwire-less between re-prints)*. The Q3 NAV kill ($<\$11.91$) fires only after the fact.
2. **The undated SWK unlock.** ~6.4M consideration shares issued at \$11.93 NAV, now underwater ~45%, with lockup terms we could not locate. If they free up before Q3, the supply zone moves down through our gate — partially known, undated, unsensored.
3. **The dividend goes before the fee comes back.** If the board cuts while the incentive-fee holiday still flatters NII, the total-return math resets lower and the kill fires at a worse tape than today's.

Reflexive/structural leg: our gate at \$6.25 sits deliberately below Carlson's demonstrated distribution — but that cuts both ways: **a fill means the supply found us**. The conditional entry selects for states where a motivated seller accelerated, so the fill itself is information to be read, not celebrated. 560 shares is ~6 days of Carlson's own pace but trivial vs total ADV. Cohort: one of nine same-doctrine starters, graded 11/22.

“If this position loses money, the most likely reason will be that the level-3 marks were already stale at entry — the fill came from a seller who knew the Q3 NAV before we did.”